

Palantir Technologies Inc.

PLTR NYSE

Buy

\$192.62 ▲ 1.70%

12M Price Target
\$220.00

52-Week Range
\$106.37 – \$207.52

Market Cap
\$462.88B

PLTR: Quiet Grind Higher as AI Spending Narrative Holds

WHAT HAPPENED

- PLTR up 1.7% to \$192.62 on lighter-than-usual volume (12M vs ~18M typical) — this is a quiet melt-up, not a news-driven spike. When a stock drifts higher on low volume it usually means there's no seller pressure, which is often more bullish than a big volume breakout because it signals holders are comfortable sitting tight.
- Options flow is screaming bullish — the put/call ratio is 0.50 (meaning twice as many bets on the stock going up as down), and there's unusual call buying at the \$190, \$192.50, and \$195 strikes expiring this month. Translation: somebody with real money is betting PLTR pops in the next few weeks.

WHY IT MATTERS

The setup here is pretty interesting — the stock is 85% of the way up its 52-week range, which usually means it's extended, but the options market is positioning for MORE upside, not a pullback. That tells me traders are expecting a catalyst in the next 2-4 weeks, most likely Q3 earnings in early November. The bigger picture: PLTR has become the "default" AI software vendor for the US government under the current administration's push to modernize defense and intel systems, and the FY2026 defense authorization bill (NDAA) working through Congress right now is loaded with AI/software modernization line items that flow straight to PLTR's revenue. The insider selling is worth noting but it's small and routine (directors trimming, not dumping) — I wouldn't read too much into it when institutions own 64.7% and aren't flinching.

POLICY & POLITICAL WATCH

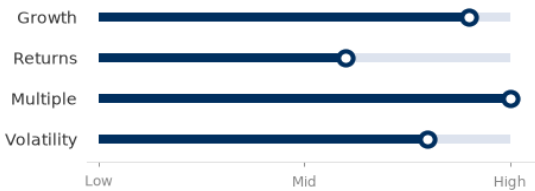
Two things to watch: (1) The FY2026 NDAA is in conference committee — final version expected this fall. It includes expanded funding for the Army's TITAN program and Project Maven, both of which PLTR has anchor contracts on. If funding comes in at the Senate's higher number, that's a direct tailwind. (2) The administration's AI procurement executive order is pushing agencies to standardize on vetted AI platforms — PLTR is already FedRAMP High authorized while most competitors aren't, so this is effectively a regulatory moat. Headwind risk: any government shutdown drama around the continuing resolution could delay contract awards and spook the stock short-term.

IS IT EXPENSIVE?

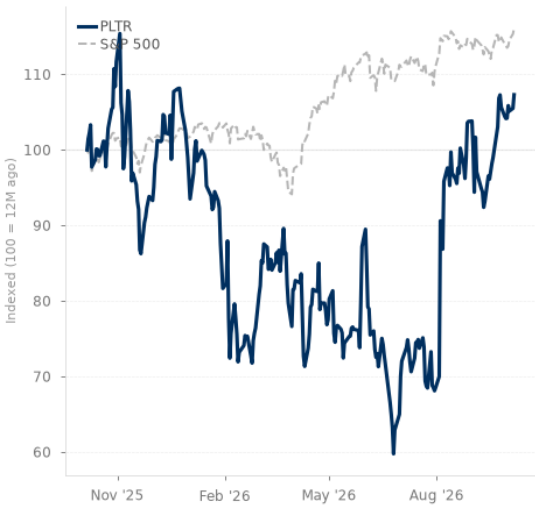
Key Data

Price (USD)	\$192.62
12M Price Target	\$220.00
Upside / (Downside)	+14.2%
Market Cap	\$462.88B
FY2026E Revenue	\$4,800M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.72
FY2027E EPS	\$1.05
Fwd P/E	267.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$210.00	\$195.00	\$175.00
6 Months	\$240.00	\$210.00	\$160.00
1 Year	\$275.00	\$220.00	\$140.00
2 Years	\$350.00	\$260.00	\$120.00
5 Years	\$500.00	\$325.00	\$100.00
10 Years	\$800.00	\$450.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+2.24%) and Energy (+3.90% over 5 days) — this is the "AI needs power" trade continuing to work, as data center electricity demand is now a bipartisan policy conversation. Industrials also strong on infrastructure/defense spending momentum.

COOLING OFF: Nothing dramatically broken today, but notice Tech isn't in the top movers — suggests today's rally is more about defensive/cyclical rotation than AI euphoria specifically.

ROTATION WATCH: Money is flowing into "AI picks and shovels" (utilities, energy, industrials) rather than AI software directly. That's actually a sign of a maturing AI trade — the easy money has been made in the obvious names, so capital is hunting for second-derivative plays.

RELATED PLAY: If you believe the government AI spending thesis, look at ANET (networking for data centers) and VST/CEG (power generators selling to hyperscalers) — they benefit from the same tailwind without the 96x revenue multiple.

WHO'S WINNING IN THIS SPACE?

- NEE (NextEra Energy): Utilities leading today — direct beneficiary of data center power demand and renewable buildout policy support.
- GE (GE Aerospace): Industrials strength — defense modernization budget and commercial aerospace cycle both working.

PLTR CONTEXT: PLTR is leading its software peer group — up 85% of its 52-week range while most SaaS names are mid-range. That relative strength is a bullish signal but also means it's the first name that gets sold in any AI-trade pullback. When you're the leader, you're also the piñata.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the business and the policy tailwinds, but the valuation keeps me from pounding the table. This is a "hold your nose and own some" situation.

POSITION SIZE: 2-4% of portfolio — big enough to matter if it works, small enough that a 40% drawdown won't ruin your year. At this valuation, position sizing IS the risk management.

ENTRY POINTS: I'd be a buyer on pullbacks to \$170-180 (roughly the 50-day average). Chasing at \$192 right before earnings is a coin flip — the options market has already priced in a beat.

TIME HORIZON: 12-24 months. The near-term catalyst is Q3 earnings in November and NDAA passage. The longer-term catalyst is proving the commercial AIP business can scale to match the government business.

WHEN TO BAIL: If revenue growth slows below 25% YoY, if they lose a major government contract, or if the stock closes below \$150 on heavy volume (that would break the uptrend).

HEDGING: Simplest hedge — buy a put option that pays off if the stock falls below \$170 over the next 3 months. Costs you a small premium (like insurance) but protects against the valuation getting cut in half if the AI trade unwinds.